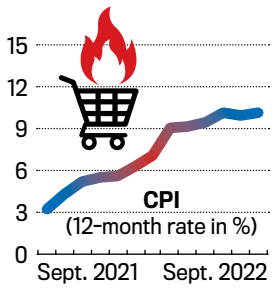
ECONOMY: THE BIG FOUR CHALLENGES

FROM TAMING HIGH INFLATION, ESPECIALLY RISING FOOD AND ENERGY PRICES, TO FIXING THE ECONOMY'S GROWTH AND RESTORING CONFIDENCE IN THE STOCK MARKETS, THE NEW UK PRIME MINISTER HAS HIS TASK CUT OUT – by M.G. ARUN

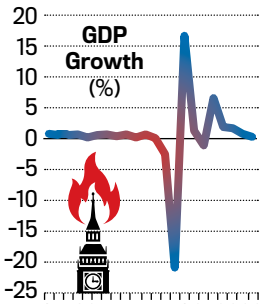
RUNAWAY INFLATION

The Consumer Price Index rose by 10 per cent in the 12 months to September 2022, forcing households to tighten purse strings



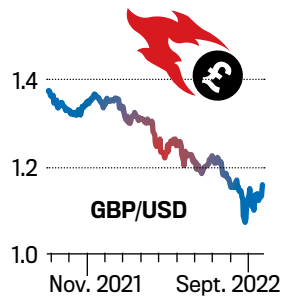
GROWTH SLIDE

Growth has been steadily slipping over the past few quarters



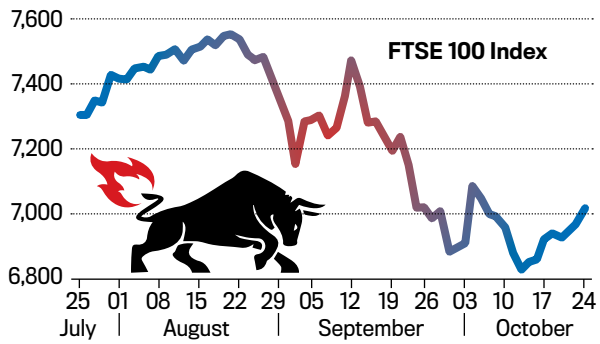
WEAKENING POUND

The British pound has taken a pounding, dropping to a record low in September



SLIPPING STOCKS

Stocks have been tumbling until recently as seen in the FTSE 100 Index, comprising 100 most valuable blue chip firms listed on the London Stock Exchange



Sources: Office for National Statistics, UK; hl.co.uk; The Wall Street Journal

1 Derailed government finances: With the UK undertaking higher spending to mitigate the pandemic's impact, the ratio of revenues to current spending went from a surplus to a deficit of over 11 per cent of the national income within two years.

SOLUTION: Introduce spending cuts and increase government revenue by raising taxes, but selectively. However, higher taxes can impact investment and jobs.

2 Economic growth: The economy has been stagnant since the start of the 2008 global meltdown. Brexit made it tougher for the UK to trade with its closest trading partners in Europe. GDP growth has been slipping—down to 0.2 per cent in Q2 of 2022 from 6.5 per cent in Q2 of 2021.

SOLUTION: A series of policy measures, including higher government spending, since private investment has not been forthcoming.

Graphic by TANMOY CHAKRABORTY

mistakes nonetheless. And I have been elected as leader of my party and your prime minister, in part to try to fix them." Sunak promised to deliver on the commitments in the 2019 manifesto—a stronger NHS, better schools, safer streets, control of borders, protecting the environment, supporting the armed forces, levelling up and building an economy that embraces the opportunities of Brexit. Many in Britain believe Sunak will rewrite the British story, which has lost the plot.

Like all good stories, this one too begins with someone new coming to town. Someone whose rise is a phenomenal story of success. Sunak's Punjabi grandparents came to Britain from colonial East Africa in the 1960s. His doctor father and pharmacist mother sent him to an elite private school, Winchester College. The line-up of the school's alumni is impressive—General Sir Nick Carter (Chief of the Defence Staff), David J. Thouless (who won the Nobel for Physics in 2016), Mansoor Ali Khan Pataudi (the famed Indian cricketer) and George Mallory (Everest mountaineer). Sunak's biggest regret is that he never won a scholarship to Winchester and his parents had to fork out a princely sum of £43,000 annually as fees.

But not all elite private school students end up getting British cabinet memberships. For that, one perhaps has to enrol for a course established almost a century ago. Sunak joined Lincoln College at Oxford University as an undergraduate to study Philosophy, Politics and Economics (PPE). "More than any other course at any other university, more than elite private schools, and in a manner unheard of in any other democracy, Oxford PPE pervades British political life," says Farzana Baduel, director of Curzon PR. From the right to the left, from the centre to the periphery, from top-